

But in finance, we have businesses to run. However unfortunately for our investors, there is great pressure both to shape and to respond to the short-term perceptions of our clients—a fact of life that, for better or worse, rules at least as strongly in the marketing of financial products as it does in consumer products such as automobiles, perfume, toothpaste, and jewelry. But of necessity, all of this shuffling of financial paper entails a cost that ill serves investors.

As Benjamin Graham pointed out way back in September 1976—coincidentally, only moments after the first index fund was launched—“the stock market resembles a huge laundry in which investors take in large blocks of each other’s washing, nowadays to the tune of 30 *million* shares a day.” (He could not have imagined today’s speculation: more than three *billion* shares a day.) That’s a lot of washing, a reflection of Wall Street’s perennial advice to its clients: “Don’t just stand there. Do something!”

Alas, the reverse proposition, “Don’t do something. Just stand there,” *while the inevitable strategy of all investors as a group*—think about that, please—not only is counterintuitive to the emotions that play on the minds of virtually all us individual investors, but also would be counterproductive to the wealth of those who market securities and who manage securities portfolios. While the industry, disingenuously, argues that investors should ignore indexing in favor of funds designed to serve their individual objectives and requirements, Ben Graham had an opinion on that, too: “*only a convenient cliché or alibi to justify the mediocre record of the past.*”

## **Mutual Funds: Lowering the Bar**

Sometimes the public interest demands introspection, so later I’ll explore at greater length how the industry in which I have spent my life has failed in some of its most basic stewardship obligations—to its shareholders, to its owners, to itself, and to its own history—and how it can find the right path again. For now, let me just say that the industry has run its own mad rush to innovation—everything from the short-term global income funds and adjustable-rate mortgage funds